

Canada's Biggest Labour Force Change, COVID Era (2020–2026)

Data note: all figures come from Statistics Canada's Web Data Service (WDS) live API, extracted 2026-09-30. Labour Force Survey (LFS) tables run through August 2026 (released 2026-09-04); SEPH payroll data run through July 2026 (released 2026-09-24). Counts are in thousands unless noted.

Verdict

The biggest lasting change of the COVID era is the expansion of labour supply. Between February 2020 and August 2026, Canada's working-age (15+) population grew by 3.9 million (+12.6%) and the labour force by 2.2 million (+11.0%). Employment absorbed nearly all of it, rising 2.0 million (+10.3%), but not fast enough to keep pace: the employment rate fell 1.3 percentage points and the unemployment rate ended the period higher (6.4% vs 5.8%), after peaking at 7.1% in September 2025.

The COVID collapse itself was the biggest short-run change — employment fell 3.1 million in two months — but it fully reversed by September 2021. The supply expansion did not reverse; it defines the era.

Two structural shifts sit underneath the headline:

1. The growth is population-driven, not participation-driven. The aggregate participation rate fell from 65.9% to 65.0%. Every person of the labour force increase came from population growth. The surge was concentrated in 2022–2024: the largest 12-month labour force gain was +793 thousand (ending November 2023) and the largest 12-month 15+ population gain was +1,194 thousand (ending September 2024).
2. The composition of work shifted toward the public sector and health care, and away from self-employment and consumer-facing goods and services industries.

Table 1. Headline indicators, Canada, 15 years and over, seasonally adjusted

Indicator	Feb 2020	Aug 2026	Change
Population (000s)	30,945.1	34,831.2	+3,886.1 (+12.6%)
Labour force (000s)	20,384.8	22,632.6	+2,247.8 (+11.0%)
Employment (000s)	19,202.9	21,173.1	+1,970.2 (+10.3%)
Full-time employment (000s)	15,607.0	17,325.7	+1,718.7 (+11.0%)
Part-time employment (000s)	3,595.9	3,847.4	+251.5 (+7.0%)
Unemployment (000s)	1,182.0	1,459.5	+277.5 (+23.5%)
Unemployment rate (%)	5.8	6.4	+0.6 pp
Participation rate (%)	65.9	65.0	−0.9 pp
Employment rate (%)	62.1	60.8	−1.3 pp

Full-time share of employment edged up from 81.3% to 81.8%.

Table 2. The COVID shock and recovery, seasonally adjusted

Milestone	Period	Value
Employment trough	Apr 2020	16,086 thousand (−3,117 thousand, −16.2% vs Feb 2020)

Milestone	Period	Value
Unemployment rate peak	May 2020	14.2%
Employment back at Feb 2020 level	Sep 2021	19 months after the shock
Unemployment rate cycle low	Jul 2022	4.8%
Unemployment rate post-recovery high	Sep 2025	7.1%
Unemployment rate, latest	Aug 2026	6.4%

Vintage note: 14.2% is the current seasonally adjusted series as revised; figures cited contemporaneously in 2020 (13.7%, including persons absent due to COVID business closures) differ from the current vintage.

Table 3. Where the labour force growth came from, by age (unadjusted, August 2019 vs August 2026, 000s)

Age group	Population 2019 → 2026	Labour force change	Employment change	Participation rate 2019 → 2026
15–24	4,438 → 4,946 (+11.5%)	+218	+113 (+3.9%)	73.8 → 70.7
25–54	14,788 → 16,844 (+13.9%)	+1,959	+1,726 (+14.1%)	87.8 → 88.7
55–59	2,703 → 2,380 (–11.9%)	–208	–215 (–11.1%)	75.8 → 77.3
60–64	2,478 → 2,600 (+5.0%)	+98	+85 (+6.5%)	57.1 → 58.2
65+	6,288 → 8,060 (+28.2%)	+257	+248 (+27.9%)	14.8 → 14.7

Core-age workers (25–54) supplied 1,959 thousand of the 2,325 thousand total labour force increase (84%). Youth participation fell 3.1 points even as the youth population grew 11.5%: the cohort grew, but a smaller share of it worked or looked for work. At the older end, employment of workers 65+ grew 27.9% while the 55–59 cohort shrank with the age structure. The aggregate 55+ participation rate fell from 38.3% to 35.1% (seasonally adjusted), but this is a composition effect — participation rose within each five-year band; the fast-growing 65+ segment has low participation and drags the aggregate down. The 55+ share of total employment slipped from 21.9% to 20.5%.

Table 4. Gender, seasonally adjusted

Series	Feb 2020	Aug 2026	Change
Men 15+ participation rate (%)	70.4	69.1	–1.3 pp
Women 15+ participation rate (%)	61.4	60.9	–0.5 pp
Men 25–54 participation rate (%)	91.3	92.0	+0.7 pp
Women 25–54 participation rate (%)	83.5	85.2	+1.7 pp
Men 15+ employment (000s)	10,119.8	11,134.1	+1,014.3
Women 15+ employment (000s)	9,083.1	10,039.0	+955.9

Core-age women's participation rose 1.7 points to 85.2%, a record level for the series. The 15+ aggregates fell for both sexes because the population shifted toward lower-participation age groups, not because core-age behaviour weakened.

Table 5. Class of worker, seasonally adjusted, 000s

Class	Feb 2020	Aug 2026	Change	Share of employment
Public sector employees	3,771.5	4,517.9	+746.4 (+19.8%)	19.6% → 21.3%

Class	Feb 2020	Aug 2026	Change	Share of employment
Private sector employees	12,639.1	13,892.0	+1,252.9 (+9.9%)	65.8% → 65.6%
Self-employed	2,792.5	2,763.4	-29.1 (-1.0%)	14.5% → 13.1%

Public sector employment grew at twice the private sector rate and accounted for more than a third of total employment growth. Self-employment was the only class of worker to shrink over the period.

Table 6. Industry composition, payroll employment (SEPH), seasonally adjusted, persons

Industry	Feb 2020	Jul 2026	Change	Share change
Health care and social assistance	2,116,506	2,536,697	+19.9%	+1.37 pp
Professional, scientific and technical	995,025	1,231,797	+23.8%	+0.85 pp
Public administration	1,147,811	1,358,922	+18.4%	+0.65 pp
Construction	1,052,622	1,197,042	+13.7%	+0.33 pp
Finance and insurance	755,713	864,589	+14.4%	+0.26 pp
Transportation and warehousing	798,019	879,708	+10.2%	+0.10 pp
Educational services	1,376,050	1,491,731	+8.4%	+0.03 pp
Utilities	127,057	139,580	+9.9%	+0.01 pp
Arts, entertainment and recreation	313,335	333,297	+6.4%	-0.03 pp
Other services	554,635	581,950	+4.9%	-0.09 pp
Real estate and rental and leasing	291,219	295,271	+1.4%	-0.10 pp
Information and cultural	355,419	355,142	-0.1%	-0.15 pp
Wholesale trade	822,169	809,630	-1.5%	-0.42 pp
Administrative and support	844,458	831,089	-1.6%	-0.44 pp
Accommodation and food services	1,341,553	1,303,860	-2.8%	-0.78 pp
Manufacturing	1,560,806	1,539,583	-1.4%	-0.79 pp
Retail trade	2,000,894	1,989,716	-0.6%	-0.92 pp
Total payroll employment	17,101,811	18,459,913	+7.9%	—

Health care and social assistance was the largest single gainer (+420 thousand payroll jobs, +19.9%), consistent with the public-sector shift in Table 5. The largest losers by share were retail trade, manufacturing, and accommodation and food services — all below their February 2020 payroll levels more than six years later. Note: SEPH covers payroll employees only; it excludes self-employment and agricultural workers, so it understates total employment but is the only full-history seasonally adjusted industry series available.

Method and quality flags

Series were retrieved by coordinate from WDS cubes 14100287, 14100017, 14100288 and 14100220 and joined in a local analysis. All reported LFS data points carry statusCode 0 (normal) and symbolCode 0 (none) — no preliminary, suppressed, or use-with-caution flags on the endpoints cited. SEPH points carry statusCode 3–4 (data quality: excellent to very good). Key vector IDs for re-querying: employment v2062811, labour force v2062810, unemployment rate v2062815, participation rate v2062816, 55+ employment v2062973, 25–54 women's participation v2062969, public sector employment v2066969, self-employment v2066971, 65+ employment v2091090, SEPH health care v54026966, SEPH retail v54026678.

Seasonally adjusted series are current-vintage and subject to revision. Unadjusted series (Table 3) are compared August-to-August to avoid seasonal distortion.

Sources

Statistics Canada. "Labour force characteristics, monthly, seasonally adjusted and trend-cycle" (table 14-10-0287-01) [dataset]. Statistics Canada. Released 2026-09-04. Accessed 2026-09-30. productId 14100287; vectors as cited in text. <https://www150.statcan.gc.ca/t1/tbl1/en/tv.action?pid=1410028701>

Statistics Canada. "Labour force characteristics by gender and detailed age group, monthly, unadjusted for seasonality" (table 14-10-0017-01) [dataset]. Statistics Canada. Released 2026-09-04. Accessed 2026-09-30. productId 14100017; vectors as cited in text. <https://www150.statcan.gc.ca/t1/tbl1/en/tv.action?pid=1410001701>

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Statistics Canada. "Employment and average weekly earnings (including overtime) for all employees by industry, monthly, seasonally adjusted, Canada" (table 14-10-0220-01) [dataset]. Statistics Canada. Released 2026-09-24. Accessed 2026-09-30. productId 14100220; vectors as cited in text. <https://www150.statcan.gc.ca/t1/tbl1/en/tv.action?pid=1410022001>